	Forfeited shares A/c (2,500-1,000)	Dr.		1,500	
	To Capital reserve A/c				1,500
	(Gain on reissue of forfeited shares transferred to capital reserve)				

7.9 Issue of shares for cash in lumpsum

When shares issued either at par or at premium are payable in single payment, the shares are said to be issued against lumpsum payment.

The following journal entries are passed:

Date	Particulars		L.F.	Debit ₹	Credit ₹
	(i) For receipt of application money				
	Bank A/c	Dr.		xxx	
	To Equity share application A/c				xxx
	(ii) For transfer of application money				
	Equity share application A/c	Dr.		xxx	
	To Equity share capital A/c				xxx
	To Securities premium A/c (if issued at premium)				

Illustration 19

Sara Company issues 10,000 equity shares of ₹ 10 each payable fully on application.

Pass journal entries if the shares are issued

(i) at par

(ii) at a premium of ₹ 2 per share.

Solution

In the books of Sara Company

Journal entries

(i) Issued at par

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Bank A/c (10,000 x10)	Dr.		1,00,000	
	To Equity share application A/c				1,00,000
	(Application money received)				
	Equity share application A/c	Dr.		1,00,000	
	To Equity share capital A/c				1,00,000
	(Application money transferred to share capital)				

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